

Annual Report on Form 10-K

Pioneer Logistics Networks, Inc. (NASDAQ: PLNX)

For the fiscal year ended December 31, 2024

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 7. Management's Discussion and Analysis

Total revenue was \$2,318 million for the fiscal year covered by this report, an increase of 12% compared with \$2,071 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 27.4% for the period, compared with 25.9% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$241 million, compared with \$189 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$177 million, compared with \$139 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Freight Brokerage	1,024	913	102
Warehousing	731	652	79
Last-Mile Delivery	563	506	40

Freight Brokerage was the largest segment by revenue, contributing \$1,024 million during the period.

Consolidated Balance Sheets

Item	December 31, 2024	December 31, 2023
Total current assets	688,400	601,700
Total assets	1,924,600	1,693,500
Total current liabilities	447,900	396,100
Total liabilities	1,017,300	903,600
Total stockholders' equity	907,300	789,900

Total assets were \$1,924,600 thousand and total stockholders' equity was \$907,300 thousand at the end of the reporting period.

Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$331 million, compared with \$258 million in the comparable prior-year period. Net cash used in investing activities was \$154 million, while net cash used in financing activities was \$83 million.

Item 1A. Risk Factors

Freight volumes depend on industrial production, retail demand, and inventory levels. A downturn in shipment volumes could reduce revenue.

Fuel prices, labor costs, and driver availability can materially affect transportation expenses and operating margins.

Our logistics network relies on third-party carriers, warehouse operators, and technology systems. Disruptions could affect service levels.

Item 9A. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.